

approximately 400 stocks that are relatively inexpensive to trade (in relation to other small cap stocks) and approximately 400 stocks that are relatively very expensive to trade (in relation to other small cap stocks). Managers could take advantage of these MI scores by increasing holdings in the stocks with low factor scores without the worry of adversely inflicting abnormal levels of market impact cost above acceptable levels. The 400 very expensive to trade stocks could result in dramatically higher levels of market impact cost much above and beyond what is expected, especially in times of a stressed market environment. These are the trades that often turn a great investment opportunity into one that is just moderately profitable and possibly incurs a loss.

Notice in [Figure 11.8b](#) how quickly the MI factor score increases for the tail end of the small cap universe. The last 100 stocks are extremely costly and very sensitive to investment dollars. Managers should think about excluding these stocks from their portfolio or at least holding smaller investment dollars in these names, unless, of course, the expected stock alpha will more than offset these incremental transaction costs.

Please note that these break points are found by visual inspection and analysts need to determine actual break points based on their investment needs and alpha expectations. In the end, these MI factor scores provide a vast improvement over other screening techniques that only use liquidity or only use volatility.

ALPHA CAPTURE PROGRAM

An alpha capture analysis provides the portfolio manager with the quantity of forecasted alpha that can be achieved via an appropriately structured trading strategy. Forecasted alpha in this manner has alternatively been referred to as price return, price appreciation, price trend, price evolution, and drift (Kissell, 2003).

The quantity of the alpha that can be captured by managers is dependent upon the size of the order, the alpha forecast, the cost of the trade, and the underlying strategy. For example, if a strategy is expected to provide a return of 10% over a period the alpha capture analysis will provide information about how much of the expected return the manager will be able to achieve for various order sizes. An order of 5% ADV may be able to capture 9.8%, an order of 10% ADV may be able to capture 9.5%, an order of 25% ADV may only be able to capture 9.0% of the return, etc. The larger the order size, the lower the expected alpha the manager will realize due to trading costs. In other words, the alpha capture strategy will estimate the profitability of a strategy.